Practice workbook · Draw a PPC showing a movement or shift

Drawing a labelled concave PPC for two goods, then showing a move along it or a shift to a new curve.

4 question parts: 1 worked-example retry and 3 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-04

1. Question 3 · part c · 3 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part c only.

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3 (a) Which **one** of the following is most likely to cause a shift to the left in the supply curve?

(1)

- ☒ **A** Increased indirect taxes
- ☒ **B** Cost reductions
- ☒ **C** Increased subsidies
- ☒ **D** Decreased advertising

(b) Which **one** of the following best describes an income elasticity of demand (YED) of 2.6?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Inelastic

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1. Question 3 · part c · 3 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part c only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce diaries and/or calendars. On your PPF, draw what would happen if production of calendars increased.

(3)

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1. Question 3 · part c · 3 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part c only.

Each year the Turkish Government raises the national monthly minimum wage. It increased from 2 020 Turkish Lira (TRY) in 2018 to 2 558 Turkish Lira (TRY) in 2019.

(d) With reference to the data above and your knowledge of economics, analyse why the Turkish Government might want to increase the minimum wage every year.

(6)

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1. Question 3 · part c · 3 marks · Working and answer

Working and answer

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2. Question 3 · part c · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

3 (a) Which **one** of the following is an example of an external economy of scale?

(1)

- ☒ **A** Bulk buying
- ☒ **B** Skilled labour
- ☒ **C** Bureaucracy
- ☒ **D** Managerial

(b) Which **one** of the following is a main feature of an oligopoly?

(1)

- ☒ **A** Rising fixed costs
- ☒ **B** No barriers to entry
- ☒ **C** Large firms dominate the market
- ☒ **D** Specialises in the public sector

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2. Question 3 · part c · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

An economy can produce consumer and capital goods. This economy originally produced at PPC1 with all resources fully employed but due to positive economic growth, it can now produce at PPC2 with all resources fully employed.

(c) Using the axes below, draw two production possibility curves (PPC) to show an economy moving from PPC1 to PPC2. Label both production possibility curves and the axes.

(3)

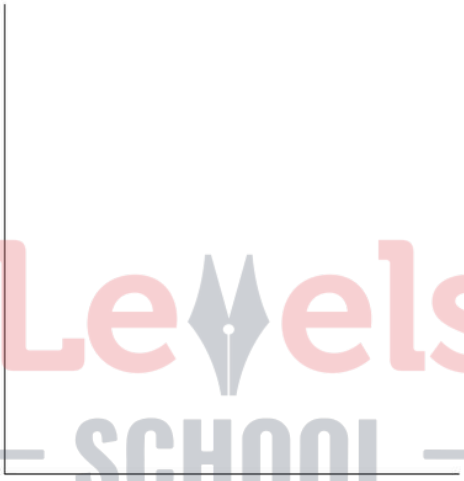


Figure 2

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2. Question 3 · part c · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

Technology has been used to perform some of the jobs previously done for many years by humans, for example, robots in factories and self-checkout machines. This substitution of capital for labour is likely to increase as technology advances. At most call centres, humans currently respond to customer queries but Google has developed an automated assistant. Many telecom firms have switched to using calls made by these automated assistants.

(d) With reference to the data above and your knowledge of economics, analyse how the demand for labour might be affected by the use of machines.

(6)

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2. Question 3 · part c · 3 marks · Working and answer

Working and answer

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3. Question 3 · part c · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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3 (a) A pollution permit is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** government intervention
- ☒ **C** economy of scale
- ☒ **D** economic assumption

(b) Which **one** of the following is likely to lead to an increase in the productivity of land?

(1)

- ☒ **A** Increase in the use of fertiliser
- ☒ **B** Decrease in the use of irrigation
- ☒ **C** Increase in the use of advertising
- ☒ **D** Decrease in the use of drainage

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3. Question 3 · part c · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce tables and/or chairs. On your PPF, draw what would happen if the production of chairs decreased and tables increased.

(3)

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3. Question 3 · part c · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

In 2019, the National Health Service (NHS) in England began a campaign to check the records of all children who had been given the measles, mumps and rubella (MMR) vaccination. Those children missing the MMR vaccination were then invited to make an appointment to receive the vaccination.

(Source adapted from: https://www.gov.uk/government/publications/mmr-catch-up-for-10-to-11-year-old-children-information-for-gps)

(d) With reference to the data above and your knowledge of economics, analyse why vaccinations may be an external benefit.

(6)

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3. Question 3 · part c · 3 marks · Working and answer

Working and answer

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4. Question 3 · part c · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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3 (a) Which **one** of the following is most likely to cause a shift to the left of the demand curve?

(1)

- ☒ **A** Increased advertising
- ☒ **B** Cost reductions
- ☒ **C** Increased indirect taxes
- ☒ **D** Decreased incomes

(b) Which **one** of the following best describes the type of goods with an income elasticity of demand (YED) of –1.3?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Normal

(c) In the box below, draw a production possibility curve (PPC) for a firm that can produce shampoo and/or toothpaste. On your PPC, draw and label what would happen if production of toothpaste was increased.

(3)

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4. Question 3 · part c · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

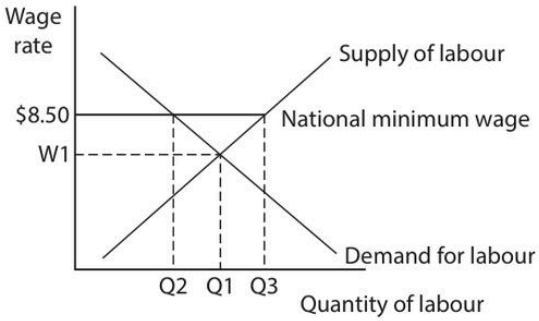


Figure 4

In 2021, the national minimum wage in Barbados was increased from $6.25 per hour to $8.50 per hour.

(d) With reference to the data above and your knowledge of economics, analyse the likely impact of an increase in the national minimum wage on the supply of labour in Barbados. (6)

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4. Question 3 · part c · 3 marks · Working and answer

Working and answer

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